and utilities are the only thing going up in this market (general, S&P market). Yield is 5.4%."

The stock continued higher. Five days before Christmas word came down that Exelon would buy the company for 52.74 per share. Apparently, the smart money already knew of this deal. Seven trading days earlier, the stock had closed at 43.12, and the day before the announcement it was already at 47.28. On the announcement day, the stock closed at 50.56, a tiny premium above the prior day's close.

Fast forward to 5 March 2005. I must have been getting nervous. The stock was trading above the purchase price of the takeover, so I placed at stop at 53.33. On 22 March, the stock filled at 53.30. "Sell reason: Hit stop as FED [Federal Reserve] raises interest rates."

- Lesson: If you hold onto a number of quality stocks, some of them will be taken over, often at a substantial premium.

I made 35% including dividends on the trade. In this case, the merger fell through in September 2006. By that time, the stock was trading at 72.62, far above the takeover price. On the news, the stock only lost about $4 a share. The stock reached its ultimate high of 104.60 in January 2008, in the middle of the 2007–2009 bear market. In other words, I sold way too soon.

If I had drawn a trendline connecting the two lows in July and October 2004 and extended that into the future, it would have taken me out of the trade at over $80 a share.

I don't know why I used a stop-loss order on the stock. As a long-term holding, one paying a good dividend, having a stop in place is unusual for me, so I must have been nervous about something, probably the takeover falling through.

- Lesson: Sometimes a stop-loss order takes you out of a big winner prematurely. That's especially true in buy-and-hold investments.

Hughes Supply Inc.

Hughes Supply (HUG) is one of those stocks where I traded it perfectly and lost money. A loss doesn't bother me too much unless it's large or it happens